The sudden announcement by the prime minister of the decision to repeal the three central farm laws is seen by many as the end of the road for agricultural reforms. It surely isn't. There are a few learnings from the 15 months of the farmers' agitation:

WHILE REFORMS NEED TO BE LED BY STATES, THEY ALSO HAVE TO BE STRUCTURED COHESIVELY IN KEEPING WITH THE NEEDS OF THE COUNTRY AS A WHOLE

Consultations are critical and it is important to be seen as fair

The agitation forced the government to realise that for undertaking reforms in agriculture, consultations have to be inclusive and wider. Direct talks with experts and farmers' representatives may be necessary in 2022 for the future of structural reforms in agriculture. After all, the views of CII, FICCI and PHD Chamber of Commerce and Industry are considered by the government while formulating policies on incentives, investment, import/ export, taxation, etc.

The two most important incentives extended to farmers in the past few years—fixing MSP (minimum support price) at a minimum 50 per cent over the paid out costs (A2) along with cost of family labour (FL), and the yearly Rs 6,000 provided under the PM-Kisan scheme—did not emerge from consultation with farmers or state governments. They were unilateral announcements by the Centre. Now that the government has announced a committee of experts to delve into contentious issues, such as cropping patterns, fertiliser subsidy and the future of MSP, it is hoped that credible experts and farmers' representatives from various agro-climatic zones will be nominated in the panel.

Customise reforms to states' realities

India's states are at different stages of agricultural development and have varied constraints regarding resource endowment and agro-ecological vulnerabilities. So, policies will need to be tailored to meet their requirements. A one-size-fits-all approach will not be the way forward.

Reforms need local thrust and macro pragmatism

One of the other big learnings is that while reforms need to be led by states, they also have to be designed pragmatically and structured cohesively in keeping with the needs of the country as a whole. India is home to a large proportion of the world's poor and malnourished. The country cannot afford to not have surpluses of its staple crops, such as wheat, rice and pulses. In 2022, the Centre needs to ensure convergence between the aspirations/ requirements of states and India's long term needs. A country-level plan of production, for example, can bring efficiency to use of resources. Combining it with states' plans may deliver a win-win for all.

There are several key areas in agriculture that need reforms in 2022:

Fertiliser subsidy

One of the most difficult reforms relates to fertiliser subsidy. For a long time, it has been debated that Direct Benefit Transfer (DBT) of fertiliser subsidy on the basis of per hectare land holding can put a check on excessive use of urea. Due to steep rise in global prices of fertilisers, the Centre may have to spend Rs 1.55 lakh crore on fertiliser subsidy whereas the budget estimate for 2021-22 is only Rs 79,530 crore.